

DECISION GUIDE

Charity structures *and* trading subsidiaries

A plain-English decision guide for boards weighing a change of structure, a new charity, or a trading company.

three decisions, one strategy

FOR TRUSTEES, CHIEF EXECUTIVES AND FINANCE LEADS

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Three decisions, one strategy

Most structure conversations go wrong in the first five minutes, because three separate decisions get rolled into one. This guide pulls them apart, gives you the facts on each, and leaves you with a recommendation your board can minute.

Charities change structure for good reasons: trustees worried about personal liability, a contract that needs a legal entity to sign it, a shop that has outgrown the rules. They also change structure for bad ones: a consultant's habit, a sense that a company looks more serious, or because a trading subsidiary sounds like a plan for income. The guide is organised around the three decisions, in the order a board should take them:

- 1 Charitable status.** Is the organisation a charity, with public-benefit obligations, a regulator and the tax reliefs that come with it? This is a status, not a shape.
- 2 Legal form.** Incorporated (a CIO or a charitable company) or unincorporated (a trust or an association)? This decides whether the organisation exists in its own right, and who carries the liability.
- 3 A trading subsidiary.** A separate, wholly owned company for commercial activity. Only ever needed for some charities, and only after the first two decisions are settled.

Throughout, we label statements the way we do in our client work, so you always know which is which:

EVIDENCE	a fact from the law, the regulator or HMRC	INTERPRETATION	our reading of what it means for you
DECISION	a choice only your board can make		

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Is it a charity, and should it be?

Charitable status is a legal and regulatory status. It is not a structure. An organisation can be a charity in any of several legal forms, and it can be incorporated without being a charity at all.

EVIDENCE In England and Wales an organisation is a charity if it is established for exclusively charitable purposes for the public benefit, as set out in the Charities Act 2011. Charitable status brings regulation by the Charity Commission for England and Wales (CCEW), the Office of the Scottish Charity Regulator (OSCR) or the Charity Commission for Northern Ireland (CCNI), and access to charity-specific tax reliefs: exemption from corporation tax on most income, Gift Aid on donations, mandatory 80% business rates relief, and VAT reliefs on some supplies.

EVIDENCE In England and Wales a charity must register with the Commission once its income exceeds £5,000 a year, unless it is excepted or exempt. A Charitable Incorporated Organisation (CIO) must register whatever its income, because it only comes into existence on registration.

What charitable status costs you

The reliefs are valuable, and most boards underestimate them. But charitable status is a bargain with conditions:

- **Purposes are locked.** Everything the charity does must advance its stated purposes. Activity that drifts beyond them is a breach, however worthy.
- **Trustees are not paid** for being trustees, and can only be paid for services or employment under strict rules and, in many cases, with the Commission's consent.
- **Trading is restricted.** A charity can trade to advance its purposes (primary-purpose trading) and can do a limited amount of other trading. Beyond that, it needs a subsidiary. Decision 3 covers this.
- **Reporting is public.** Annual returns, accounts and a trustees' annual report, in a prescribed form, on a public register.
- **Assets are locked.** On winding up, assets go to another charity with similar purposes. Founders do not get them back.

The alternative: a Community Interest Company

EVIDENCE A Community Interest Company (CIC) is a company for social enterprise. It is not a charity. It has an asset lock and a community-interest test, but it does not get charity tax reliefs: no Gift Aid, no mandatory rates relief, and it pays corporation tax on its profits. In return it has freedom a charity lacks: directors can be paid a market rate, the founder can stay in control, and it can trade without the charity rules.

INTERPRETATION If the purposes are charitable and the tax reliefs would be material, a CIC is the more expensive, less efficient choice. Choose charitable status where it fits the purpose, and a CIC only where it does not.

THE KEY QUESTION

Is the primary purpose charitable, and are the tax reliefs worth more than the freedom you would give up? If yes to both, it should be a charity. If the honest answer is that the founder wants to be paid and keep control, it should be a CIC, and nobody should pretend otherwise.

The UK is not one charity jurisdiction

Three nations, three regulators, and a different menu of structures in each. Where the charity does most of its work decides which menu you are choosing from.

ENGLAND & WALES

Regulator: Charity Commission for England and Wales (CCEW).

Structures: Charitable Incorporated Organisation (Foundation or Association model), charitable company limited by guarantee, charitable trust, unincorporated association, charitable community benefit society.

SCOTLAND

Regulator: Office of the Scottish Charity Regulator (OSCR).

Structures: Scottish Charitable Incorporated Organisation (SCIO), charitable company limited by guarantee, charitable trust, unincorporated association.

NORTHERN IRELAND

Regulator: Charity Commission for Northern Ireland (CCNI).

Structures: No CIO equivalent. A company limited by guarantee is the standard incorporated form; charitable trusts and unincorporated associations are also recognised.

EVIDENCE A charity that operates substantively in more than one UK nation may need to register with more than one regulator. A SCIO cannot simply extend its registration into England and Wales; a separate CIO or a company may be needed. A charitable company can register with more than one regulator as a single entity.

INTERPRETATION If UK-wide work is a real prospect in the next five years, that alone can tip the choice from CIO to charitable company. If it is a hope rather than a plan, do not build the structure around it; structures can be changed later, at a cost.

Incorporated or unincorporated?

Incorporation gives the organisation its own legal existence. It can own property, employ staff and sign contracts in its own name. Without it, the trustees do all of those things personally.

INCORPORATED (CIO, CHARITABLE COMPANY)

- The charity holds contracts, leases, property and bank accounts in its own name.
- Trustees have limited liability: if the charity cannot pay its debts, trustees who have acted properly are not personally liable.
- Succession is simple. Trustees change; the charity's property does not have to be transferred each time.
- Third parties (landlords, commissioners, banks) are used to dealing with a legal entity.

UNINCORPORATED (TRUST, ASSOCIATION)

- Quicker and cheaper to set up, with minimal filing.
- Well suited to small, low-risk, volunteer-run groups with no staff, no premises and no contracts.
- Trustees sign contracts and hold property personally, and are personally liable if the charity cannot meet its obligations.
- Property must be transferred between individuals when trustees change, and some organisations will not contract with an entity that has no separate legal existence.

INTERPRETATION The exposure in an unincorporated charity is personal trustee liability, and it grows sharply the moment the charity takes on staff, a lease or a contract. Once any of those three is on the horizon, incorporate. The simplicity of an unincorporated structure is only worth having while there is nothing to lose.

THE KEY QUESTION

Is simplicity worth the exposure? If your charity has, or will soon have, employees, premises or contracts, the answer is no.

The structures compared

A board-level matrix of the main UK charity structures. Read the "best fit" column first, then check the trade-offs.

STRUCTURE	LEGAL PERSONALITY	TRUSTEE LIABILITY	MEMBERS	REGULATION AND ADMIN	BEST FIT
Foundation CIO	Yes	Limited	Trustees only	Single regulator (CCEW); annual return and accounts to the Commission only	Most new and small-to-medium trustee-led operational charities in England and Wales
Association CIO	Yes	Limited	A wider membership with voting rights	Single regulator (CCEW); members' meetings required	Charities with a genuine membership that should hold the board to account
Charitable company limited by guarantee	Yes	Limited	Flexible: trustees only, or a wider membership	Dual regulation: CCEW and Companies House; full company-law machinery	Larger, more complex, contract-heavy or UK-wide charities; the form banks and commissioners know best
SCIO	Yes	Limited	Trustees only, or a wider membership	Single regulator (OSCR)	Charities principally operating in Scotland
Charitable trust	No	Personal	None	Commission registration; simple governance, no corporate shield	Passive grant-making, endowments and foundations with no staff or contracts
Unincorporated association	No	Personal (committee)	Member-based	Lightest touch; registration only above the income threshold	Small, low-risk, volunteer-run groups with minimal financial exposure

STRUCTURE	LEGAL PERSONALITY	TRUSTEE LIABILITY	MEMBERS	REGULATION AND ADMIN	BEST FIT
Charitable community benefit society	Yes	Limited	Community shareholders	Registered with the Financial Conduct Authority; in England and Wales an exempt charity recognised by HMRC rather than registered with the Commission	Community-owned assets, community share issues and democratic ownership

choose for fit, not convenience →

CIO or charitable company?

For most boards in England and Wales, the real choice is between these two. Neither is universally better.

CHOOSE THE CIO WHEN

- You want one regulator and one set of filings. A CIO reports to the Commission only; there is no Companies House, no confirmation statement, no company-law overlay.
- The charity is new or mid-sized and operational, and its contracts and borrowing are modest.
- You value charity-first governance: the constitution is written for charities and is simpler to amend.

CHOOSE THE CHARITABLE COMPANY WHEN

- Banks, commissioners, NHS bodies, local authorities or commercial partners will want a form they recognise. Company law is familiar to all of them.
- You expect to borrow, grant charges over assets, or sit inside a group structure. The company-law machinery for these is mature; the CIO's is not.
- You will work across more than one UK nation. A CIO is a jurisdiction-specific vehicle; a company is not.

INTERPRETATION The CIO was built for charities and most charities should use it. Choose the company where recognition, borrowing, contract complexity or multi-nation work demands it, not out of habit or because it feels more established. The extra administration of dual regulation is real and permanent.

THE CRITICAL QUESTION

Will anyone you need to deal with in the next five years require a company? If nobody will, choose the CIO.

Who governs, who decides, who is accountable?

The second half of the legal-form decision is participation: whether anyone other than the trustees holds formal power. It is where symbolic choices do real damage.

FOUNDATION MODEL

The trustees are the only members. Governance is streamlined, decisions move quickly, and accountability sits entirely with the board. The right choice where operational focus and speed matter more than formal representation of stakeholders, which is most charities.

ASSOCIATION MODEL

Members exist as a distinct class from the trustees and hold formal constitutional powers: electing trustees, amending the constitution and, in the last resort, winding the charity up. This creates genuine upward accountability. It also requires active member management: a register, meetings with a quorum, notices, votes, and clear reserved matters.

COMMUNITY BENEFIT SOCIETY

A democratic ownership model. Community shareholders hold withdrawable shares and elect the board. The strongest form of stakeholder accountability, best suited to community asset ownership, where the community itself is the beneficiary: a village shop, a community land trust, a renewable-energy co-operative.

A WARNING FROM EXPERIENCE

Adding members symbolically, without defined powers, quorum rules and a way to engage them, creates constitutional complexity with no accountability benefit. If the members cannot meaningfully exercise their rights, the structure misleads stakeholders and exposes trustees to challenge. Only adopt a membership model if the organisation intends its members to govern.

DECISION Does anyone other than the board need the power to remove the board? If yes, and you are prepared to run a real membership, choose the association model. If not, choose the foundation model and find other ways to listen to the people you serve: advisory groups, lived-experience panels and consultation, which cost less and often work better.

Specialist and non-charity options

EVIDENCE A charitable community benefit society is registered with the Financial Conduct Authority, not the Charity Commission, and must demonstrate a community benefit beyond its own members. It can issue community shares, giving local people a direct stake. A Community Interest Company is a company, not a charity, with an asset lock and a community-interest test but no charity tax reliefs; its directors can be paid a market rate and it trades freely.

INTERPRETATION Both are good vehicles for the things they were designed for. The mistake is to choose a CIC for a charitable purpose because it sounds more enterprising; the tax cost is permanent, and converting a CIC into a charity later is possible but not simple.

Can the charity trade directly?

Most charities trade without knowing it: a café, a training course sold to other organisations, a hall hired out, merchandise. The question is whether that trading can stay inside the charity, and the answer depends on what the trade is for and how big it is.

Does the activity directly advance the charity's purposes?

YES It is primary-purpose trading and can sit inside the charity, subject to the board's risk assessment and oversight. Fees for a charity's own services, a museum's admission charges, a training charity's courses.

NO Go to the next question.

Is it incidental to the primary purpose?

YES Ancillary trading, such as a café inside a museum or a shop in a visitor centre, can sit inside the charity provided it stays genuinely ancillary and proportionate.

NO Go to the next question.

Is it the sale of donated goods?

YES Selling donated goods, as charity shops do, is treated as converting donations to cash rather than trading. It does not count against the small-trading limits.

NO Go to the next question.

Is it low-risk and within the small-trading exemption?

YES It can stay inside the charity. The thresholds are on the next page.

NO Either it exceeds the thresholds or it carries real financial or reputational risk. A trading subsidiary is needed to ring-fence that risk from the charity's assets.

EVIDENCE

The tests above come from HMRC's guidance on charity trading and the Charity Commission's guidance for trustees on trading and tax (CC35). The underlying rule is that a charity's exemption from tax covers primary-purpose trading, ancillary trading and small-scale other trading; profits from other trading above the limits are taxable and may be a breach of trust.

THE KEY QUESTION

Does the activity advance the purpose, what risk does it create, and is the return worth the complexity? "Will it earn money?" is not the question.

The small-trading exemption

For trading that does not advance the charity's purposes, HMRC allows a limited amount to stay inside the charity, tax free. The limits are set against the charity's total income, and they are measured on turnover, not profit.

£8,000 INCOME UNDER £32,000 Up to £8,000 of non-primary-purpose trading turnover in the year.	25% INCOME £32,000 TO £320,000 Up to 25% of the charity's total income. A charity with £100,000 income may trade up to £25,000.	£80,000 INCOME OVER £320,000 Capped at £80,000, however large the charity's income grows beyond that.
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EVIDENCE These are HMRC's small-trading exemption limits for charities. They are assessed on turnover, not profit, and all non-primary-purpose trading is aggregated and tested together, not activity by activity. Thresholds are stated as at October 2026; check HMRC's current figures before you rely on them.

INTERPRETATION Three things catch boards out. First, turnover: a sponsorship deal or a corporate hire that makes little profit still counts in full. Second, aggregation: several small sidelines that each look harmless can together breach the limit. Third, the cliff edge: if you exceed the limit, the whole of the trading profit becomes taxable, not just the excess.

In every case, profits from permitted trading must be applied to the charity's purposes. Trading that exceeds the thresholds, carries material risk, or is being undertaken as a deliberate commercial strategy should go through a separate trading subsidiary.

turnover, not profit →

A worked example

DECISION A community charity with £180,000 income runs a café (£30,000 turnover, ancillary to its community centre), hires its hall to private parties (£22,000) and sells branded merchandise online (£9,000). The café is ancillary and sits inside the charity. The hall hire and merchandise together are £31,000 of non-primary trading, within the 25% limit of £45,000. No subsidiary is needed today. If the board plans to grow hire income to £40,000 and add a corporate catering contract, it will breach the limit within two years, and should plan the subsidiary now rather than scramble later.

What a trading subsidiary adds

A trading subsidiary is normally a company limited by shares, wholly owned by the charity. It is not a charity, and it gets none of a charity's tax reliefs or regulatory protections. Used well, it does five things.

- 1 Ring-fences commercial risk.** If the venture fails, the losses stay in the subsidiary and the charity's assets are protected.
- 2 Allows substantial non-primary trading.** Activity that does not advance the purposes can be carried on freely, without breaching the small-trading exemption.

3

Reduces tax through corporate Gift Aid. The subsidiary donates its taxable profits to the charity under Gift Aid, eliminating or substantially reducing its corporation tax.

4

Sharpens commercial accountability. A separate board and separate accounts focus commercial decisions and keep mission drift out of the charity.

5

Creates room to manoeuvre. It can trade under another name, sign commercial agreements and bring in investment or joint-venture partners without binding the charity.

The hidden costs and risks

A subsidiary adds complexity, not just capability. Every one of these costs is real and recurring.

- **A second legal entity** means a second set of filings, accounts, confirmation statements and potentially audit, at a cost in money and management time.
- **Tax and payroll administration.** Corporation tax, VAT, payroll and intercompany recharges must be documented and maintained; errors create HMRC exposure.
- **Arm's-length charging.** Shared staff, premises, IP, data and loans must be charged to the subsidiary at arm's-length rates. Undercharging is a misapplication of charitable funds.
- **Working capital.** The charity cannot simply prop up a struggling subsidiary. Any funding must be a board-approved loan or investment on proper terms, in the charity's interest.
- **Conflicting duties.** When the same people sit on both boards, the subsidiary board must act in the company's interest, which can diverge from the charity's.
- **Lost reliefs.** The subsidiary is a commercial entity to HMRC and the council; some VAT and business-rates advantages are lost.
- **Reputation follows the brand,** not the legal boundary. Public, media and regulatory scrutiny of the subsidiary lands on the charity.
- **A weak business stays weak.** Moving a loss-making activity into a company does not make it viable. Poor fundamentals follow the activity.

THE HIDDEN COSTS ARE REAL

Model the activity before you create the company: turnover, margin, tax, the capital it needs, the risk it carries and the governance it demands. If the modelled return does not comfortably cover the running costs of a second entity, do not create one.

Governance blueprint for a healthy group

If the modelling says yes, build the group properly from day one. These six rules are the difference between a subsidiary that funds the mission and one that quietly drains it.

- 1 Strategy first, structure second.** Write a business plan with viability milestones before you incorporate. The structure should follow the strategy, never precede it.
- 2 Distinct boards with unconflicted voices.** Trustee and director duties differ. Some subsidiary directors should not be trustees, and the chairs should be different people. Regulators and auditors look for this.
- 3 Reserved matters in writing.** Major disposals, borrowing limits, constitutional changes and winding up require the parent charity's approval as shareholder. Put it in the articles and a shareholder agreement.
- 4 Formalise every intercompany relationship.** Written agreements for secondments, property licences, IP, data sharing and any loans or guarantees. Casual arrangements invite HMRC challenge.
- 5 Separate accounts and cash, always.** The charity's funds are not available to the subsidiary. Commingling risks misapplication of charitable funds and makes the ring-fence meaningless.
- 6 Gift Aid and reserves policy.** The subsidiary should covenant its profits to the charity through Gift Aid each year, subject to its own working-capital needs. Agree a reserves policy for both entities and review it annually.

the checklist →

Before the board signs off

- ☐ A three-year business plan for the trading activity, with the point at which it breaks even and the capital it needs to get there.
- ☐ A tax note from your accountant covering corporation tax, VAT and Gift Aid for the proposed activity.
- ☐ A conflicts map: who sits on which board, and how the subsidiary gets independent voices.
- ☐ Draft articles, a shareholder agreement and the reserved matters.
- ☐ Intercompany agreements for every shared resource, priced at arm's length.
- ☐ A loan or investment agreement for any start-up funding from the charity, with the board's reasons minuted.
- ☐ Separate bank accounts opened and a plan for separate bookkeeping from day one.
- ☐ An exit plan: what happens, and who decides, if the milestones are missed.

The recommendation matrix

Start with the row that describes your organisation. The matrix is deliberately blunt; the notes on the previous pages are where the nuance lives.

IF YOUR ORGANISATION IS...	OUR RECOMMENDATION	BECAUSE
A new or small-to-medium operational charity in England and Wales, led by its trustees	Foundation CIO	One regulator, limited liability, a constitution written for charities
A charity with a genuine membership that should be able to elect and remove trustees	Association CIO	Real upward accountability, if you are prepared to run a real membership
Large, complex, contract-heavy, borrowing, or working across more than one UK nation	Charitable company limited by guarantee	The form banks, commissioners and partners know; the machinery for borrowing and groups
Principally operating in Scotland	SCIO	Scotland's purpose-built incorporated charity
A passive grant-maker or endowment with no staff or contracts	Charitable trust	Simplicity is affordable when there is nothing to lose
A small, low-risk, informal group with no staff, premises or contracts	Unincorporated association	Only while all three of those stay true
A community-owned asset funded by community shares	Charitable community benefit society	Democratic ownership and the ability to raise community investment
A charitable purpose where the founder must be paid and keep control, or the activity is mostly commercial	Community Interest Company	Freedom over tax reliefs; make the trade-off knowingly
Any charity considering substantial non-primary trading	Trading subsidiary, only after modelling turnover, margin, tax, capital, risk and governance	The structure follows the strategy, never the other way round

"The question is not simply: will it earn money? The question is: does it advance the purpose, what risk does it create, and is the return worth the complexity?"

Ten questions for your next board meeting

Take these to the board before anyone drafts a constitution. If the answers are clear, the structure chooses itself.

- | | |
|---|--|
| ☐ Is our primary purpose charitable, and are the tax reliefs material to us? | ☐ What trading do we do today, which category does each activity fall into, and what is the total non-primary turnover? |
| ☐ Do we, or will we within three years, have staff, premises or contracts in our own name? | ☐ Are we within the small-trading exemption now, and will we be in two years on current plans? |
| ☐ Will anyone we must deal with require a company rather than a CIO? | ☐ Does any activity carry financial or reputational risk that should be ring-fenced? |
| ☐ Is there a real prospect of working in more than one UK nation? | ☐ If we created a subsidiary, who would sit on its board, and who would be independent? |
| ☐ Does anyone other than the board need the power to remove the board? | ☐ Have we costed the running of a second entity against the modelled return? |

From decision to minute

A structure decision is only finished when it is written down with its reasons. Here is the shape of the paper your board should approve, whichever way the decision goes.

-
- 1 **The decision, in one sentence.** "The board resolves to establish a Foundation CIO and to transfer the assets and activities of the unincorporated charity to it by [date]."

 - 2 **The three decisions, taken separately.** Charitable status: confirmed or sought. Legal form: chosen, with the alternatives and why they were rejected. Trading subsidiary: not needed, needed later (with the trigger), or needed now (business plan attached).

 - 3 **The evidence relied on.** Regulator and HMRC guidance, the figures for income and trading, the professional advice received.

 - 4 **The risks and how they are managed.** Transition risks (contracts, leases, staff transfer, bank accounts, pensions) and the governance of any group structure.

 - 5 **Cost and timeline.** Professional fees, registration time (CIO registration takes weeks, not days), and the go-live date.

 - 6 **Who does what.** Named trustees and staff, with dates, and the point at which the board reviews progress.

Sources and further reading

Charity Commission for England and Wales: *Charity types: how to choose a structure* (CC22a) and *Trustees, trading and tax* (CC35). HMRC: *Charities and trading* guidance and the small-trading exemption limits; *VAT Notice 701/1: Charities*. OSCR: SCIO guidance and cross-border charities guidance. Charity Commission for Northern Ireland: guidance on incorporation. Companies House: guidance on community interest companies. All available free on gov.uk, oscr.org.uk and charitycommissionni.org.uk. Thresholds and figures are as published in October 2026; check for changes before you act.

Want a second opinion before you decide?

Book a free 30-minute call and talk the decision through with someone who has sat on both sides of the table. <https://calendly.com/social-intent/30min> · hello@social-intent.com · 0161 870 5544

no hard sell →

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